acceptable but suggested benchmark testing instead of information disclosures.[1031] The commenter said that benchmark tests would better demonstrate a competing consolidator's capabilities without revealing proprietary information.[1032]

One commenter believed that the requirement to disclose performance statistics as well as provide transparency into the performance of competing consolidator systems would deter potential competing consolidators from registration.[1033] Another commenter asked the Commission to issue guidance outlining a broker-dealer's obligations with respect to review of the monthly performance metrics prior to and after selection of a competing consolidator, and reevaluation of its chosen competing consolidator based on such metrics or other information.[1034]

The Commission is adopting Rule 614(d)(5) and Rule 614(d)(6) as proposed.[1035] The Commission believes that this information will be useful to market participants in evaluating competing consolidators. The Commission believes that the public disclosure of this information—particularly the system availability and network delay statistics and data quality and system issues—will encourage competing consolidators to provide consolidated market data

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1031 See Data Boiler Letter I at 53. This commenter did not elaborate on benchmark testing.

1032 See id. The performance and operational information to be provided as required by Rules 614(d)(5) and (d)(6) do not require the disclosure of proprietary information. Rules 614(d)(5) and (d)(6) require the reporting of data that demonstrates how competing consolidators are actually operating which should be directly pertinent to subscribers and potential subscribers of competing consolidators. If competing consolidators believe that benchmark testing would be worthwhile, they can decide on their own to establish benchmark criteria and publish the results of testing, in addition to complying with the requirements of Rules 614(d)(5) and (d)(6).

1033 See STANY Letter II at 6–7.

1034 See FINRA Letter at 5.

1035 The Commission is adopting Rule 614(d)(5) and Rule 614(d)(6) with minor technical changes to cite more specifically to the information that must be published by a competing consolidator to its website on a monthly basis.

products in a stable and resilient manner and will allow market participants to hold them accountable for their performance metrics.

The Commission does not believe that these disclosures will deter potential competing consolidators from registering because the disclosures should help competing consolidators to market themselves to potential subscribers. This information will be used by market participants to evaluate competing consolidator performance. Competing consolidators could also use these disclosures to evaluate their competitors, which could motivate them to make changes to better serve their subscribers or attract new ones.

Finally, the Commission believes that the information disclosed under these provisions—such as performance statistics, system availability, and data quality issues—can help a broker-dealer assess whether a potential competing consolidator can meet the broker-dealer's performance and operational needs and should help to facilitate a broker-dealer's ability to achieve and analyze best execution.[1036] For these reasons, the Commission encourages these disclosures to be provided in a manner facilitating comparison across competing consolidators and their consolidated market data products.

(d) Rules 614(d)(7) and (8): Maintenance and Provision of Information for Regulatory Purposes

(i) Proposal

Proposed Rule 614(d)(7) required each competing consolidator to keep and preserve at least one copy of all documents, including all correspondence, memoranda, papers, books,

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[1036] See supra notes 104–105 and accompanying text.

notices, accounts, and such other records as shall be made or received by it in the course of its business as such and in the conduct of its business.[1037] The proposed rule required competing consolidators to keep these documents for a period of no less than five years, the first two years in an easily accessible place.

Proposed Rule 614(d)(8) required each competing consolidator to, upon request of any representative of the Commission, promptly furnish to the possession of such representative copies of any documents required to be kept and preserved by it.[1038]

(ii) Final Rule and Response to Comments

The Commission received two comments on proposed Rules 614(d)(7) and (d)(8) from the same commenter.[1039] The commenter stated that the document retention and recording time periods of proposed Rule 614(d)(7) were acceptable.[1040] In response to proposed Rule 614(d)(8),

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1037 See Section 17(a)(1) of the Exchange Act, 15 U.S.C. 78q(a)(1).

1038 In this context, "promptly" or "prompt" means making reasonable efforts to produce records that are requested by the staff during an examination without delay. The Commission believes that in many cases a competing consolidator could, and therefore will be required to, furnish records immediately or within a few hours of a request. The Commission expects that only in unusual circumstances would a competing consolidator be permitted to delay furnishing records for more than 24 hours. Accord Regulation Crowdfunding, Securities Act Release No. 9974, Securities Exchange Act Release No. 76324 (Oct. 30, 2015), 80 FR 71387, 71473 n. 1122 (Nov. 15, 2015) (similarly interpreting the term "promptly" in the context of Regulation Crowdfunding Rule 404(e)); Security Based Swap Data Repository Registration, Duties, and Core Principles, Securities Exchange Act Release No. 74246 (Feb. 11, 2015), 80 FR 14438, 14500, n. 846 (Mar. 19, 2015) (similarly interpreting the term "promptly" in the context of Exchange Act Rule 13n-7(b)(3)); Registration of Municipal Advisors, Securities Exchange Act Release No. 70462 (Sept. 20, 2013), 78 FR 67468, 67578–79 n. 1347 (Nov. 12, 2013) (similarly interpreting the term "prompt" in the context of Exchange Act Rule 15Ba1-8(d)).

1039 See Data Boiler Letter I at 54.

1040 Id.

the commenter suggested that the Commission require benchmark testing instead of paper documents.[1041]

The Commission is adopting Rule 614(d)(7) and Rule 614(d)(8) as proposed. These requirements will facilitate the Commission's oversight of competing consolidators and the national market system. These provisions are similar to those used by the Commission in other contexts.[1042] The Commission does not believe that "benchmark testing" is applicable to the Commission's record retention requirements because these requirements address the records to retain, how long to retain them, and to whom the records should be furnished, not how competing consolidators should demonstrate the capability of their systems.[1043]

(e) Form CC

(i) Proposal

The Commission proposed Form CC to require competing consolidators to provide information and/or reports in narrative form to the Commission and to make such information public. The proposed form required a competing consolidator to indicate the purpose for which it is filing the form (i.e., initial report, material amendment, annual amendment, or notice of cessation) and to provide information in four categories: (1) general information, along with contact information; (2) business organization; (3) operational capability; and (4) services and fees. The Commission explained that the requested information would assist the Commission in understanding the competing consolidator's overall business structure, technological reliability,

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1041 Id.

1042 See Section 17(a)(1) of the Exchange Act, 15 U.S.C. 78q(a)(1).

1043 See supra note 1032.

and services offered, and would better ensure consistent disclosures across competing consolidators.

(ii) Final Rule and Response to Comments

The Commission received multiple comments from one commenter on proposed Form CC. In response to the Commission's question as to whether the instructions to Form CC were sufficiently clear, one commenter asked when a Form CC needed to be filed "in order to give [the] regulator sufficient time to review before authorizing it to operate?"[1044] Under Rule 614(a)(1)(i), no competing consolidator may receive the data content underlying consolidated market data and generate a consolidated market data product for dissemination unless an initial Form CC has been filed with the Commission and become effective. Therefore, Form CC needs to be filed prior to a competing consolidator beginning operations. Further, as described in Rule 614(a)(1)(iii), the Commission may declare an initial Form CC ineffective no later than 90 calendar days from the date of filing with the Commission.

The Commission also asked whether competing consolidators would bundle their products and/or services and if so, whether this should be required to be disclosed on Form CC. One commenter responded that bundling would be likely but did not specify whether it should be disclosed on Form CC.[1045] Two commenters stated that the Commission should not to allow competing consolidators to link their pricing to other areas of business.[1046]

In the Proposing Release, the Commission stated that the information in Section V of Form CC—which includes Exhibit F (a description of all consolidated market data products),

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1044 See Data Boiler Letter I at 55.

1045 See id. at 56.

1046 See Clearpool Letter at 4; ACS Execution Services Letter at 6.

Exhibit G (a description and identification of any fees or charges for the use of the competing consolidator with respect to consolidated market data), and Exhibit H (a description of any co-location and related services, and the terms and conditions for co-location, connectivity and related services)—would assist market participants in determining whether to become a subscriber of a competing consolidator by requiring the availability of information regarding the services offered and fees charged for consolidated market data. The Form CC disclosures will require the disclosure of fees and services related to consolidated market data products that may be bundled by a competing consolidator. The Commission does not believe that competing consolidators should be prohibited from linking their pricing of consolidated market data products to other areas of their business.[1047] The Commission believes that the transparency resulting from the disclosures provided on Form CC will facilitate competition across similar products and/or services and help to protect market participants from unfair and unreasonable pricing.

[1047] In this regard, concerns regarding linked pricing or conditioning availability could exist in the context of a competing consolidator affiliated with a registered broker-dealer that offers execution services to broker-dealer clients. For example, if the registered broker-dealer linked the pricing for, or conditioned the availability of the services of an affiliated competing consolidator to, the execution services offered by the registered broker-dealer to a broker-dealer client, and the registered broker-dealer was an execution venue included on the broker-dealer client's report required by Rule 606(a) of Regulation NMS, the material aspects of such an arrangement must be disclosed by the broker-dealer client pursuant to Rule 606(a)(1)(iv) of Regulation NMS. See also Securities Exchange Act Release No. 84528, 83 FR 58338, 58376 fn. 397 and accompanying text. In addition, in such a scenario, the broker-dealer client of the registered broker-dealer with an affiliated competing consolidator would continue to be obligated to seek the best execution for its customers' orders. See supra Section I.E.

Further, the Commission asked whether Form CC should require any additional information or whether any proposed items should be removed. One commenter responded that the NBBO should not be interfered with or influenced by competing consolidators "with ties to foreign government officials" and that Form CC should have disclosure of any such ties.[1048] Form CC requires specific information about the owners and operators of a competing consolidator. If a "foreign government official" were an owner of 10 percent or more of a competing consolidator's stock or directly or indirectly controls the management of policies of the competing consolidator, such person would have to be identified in Exhibit A to Form CC. If a "foreign government official" were an officer, director, governor, or other person performing similar functions for a competing consolidator, such person would have to be identified in Exhibit B to Form CC. These exhibits would provide disclosure of such ties. Further, as discussed above, all competing consolidators will be required to calculate the NBBO as set forth in Rule 600(b)(50).[1049] Competing consolidators could not calculate a NBBO in another manner. All competing consolidators will be regulated entities subject to inspection by Commission staff, which should deter the development of inaccurate NBBOs.

This commenter also suggested a requirement that "all procedures" in the section on Operational Capability should exclude proprietary techniques of a competing consolidator.[1050] Exhibit E to Form CC requires a narrative description of each consolidated market data service or function, including connectivity and delivery options for subscribers and a description of all procedures utilized for the collection, processing, distribution, publication, and retention of

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1048 Data Boiler Letter I at 4.

1049 See supra Section III.B.10.

1050 Data Boiler Letter I at 55.

information with respect to quotations for and transactions in securities. The information provided in Form CC relating to operational capability should contain information that will allow market participants to evaluate potential competing consolidators. It does not require the public disclosure of proprietary information.

The Commission is adopting Form CC substantially as proposed, with modifications to provide for the reporting of systems disruptions or intrusions, as required under Rule 614(d)(9).[1051] Form CC, as adopted, will include new Section VI, which will require a competing consolidator to promptly report whether a systems disruption or intrusion (or both) has occurred, and to provide information regarding the time and duration of the event, the date and time when the competing consolidator had a reasonable basis to conclude that a systems disruption/intrusion had occurred, whether and when the event had been resolved, whether and when the investigation had been closed, and the name of the system(s) involved. The revised Form CC also requires the competing consolidator to attach as Exhibit J all other information regarding the systems disruption or intrusion as required by Rule 614(d)(9)(iii) (including a detailed description, an assessment of those systems potentially affected, a description of the progress of corrective action, and when the event has been or is expected to be resolved). As discussed further below, Rule 614(d)(9) requires a competing consolidator that is not required to comply with Regulation SCI to publicly disseminate certain information regarding systems disruptions and notify the Commission of systems disruptions and systems intrusions.[1052]

1051 See infra Section III.F.

1052 See infra Section III.F and text accompanying notes 1302-1312.

Exhibit J to Form CC would be publicly available, although Form CC provides for a competing consolidator to request confidential treatment for information relating to a systems intrusion.

In addition, Form CC, as adopted, has been modified to accommodate filing by competing consolidators that are affiliated with an exchange.[1053] Section II of Form CC requires a competing consolidator to report whether it is affiliated with an exchange. Section III of Form CC specifies Form 1 exhibits related to the ownership and leadership of an exchange that may be provided by an exchange-affiliated competing consolidator in lieu of filing Exhibits A and B of Form CC. Specifically, Section III states that a competing consolidator that is affiliated with an exchange may provide Exhibit K of Form 1 relating to owners, shareholders, or partners that are not also members of the exchange in lieu of Exhibit A of Form CC, and Exhibit J of Form 1 relating to officers, governors, members of all standing committees, or persons performing similar functions in lieu of Exhibit B of Form CC. If the competing consolidator chooses not to file Exhibits A and B of Form CC or Exhibits J and K of Form 1, it must certify that the information requested under Exhibits A and B of Form CC is available on an Internet website and provide the URL. The Commission believes that permitting the filing of Exhibit J and K of Form 1 would lessen the burden of registration for an exchange-affiliated competing consolidator since this information has already been prepared and reported to the Commission with the affiliated exchange's Form 1.

[1053] See supra Section III.C.7(a)(iv).

(iii) **Comments on Fees Charged by Competing Consolidators**

Under Form CC, competing consolidators are required to disclose the fees they charge to their subscribers for the consolidated market data product services. The Commission received several comments on the fees competing consolidators would charge for their consolidated market data products.[1054] One commenter said that it is unclear how competing consolidators will price their data and whether such prices will be "reliable, resilient or well-regulated."[1055] One commenter stated that the Commission should treat competing consolidator fees similar to SRO proposed fee changes and should publish on its website each amendment to a competing consolidator's fees no later than 30 days after the amendment was filed.[1056] Another commenter suggested requiring competing consolidator price transparency for investors.[1057]

Fees set by competing consolidators for the consolidated market data services they offer will be transparent as they must be disclosed on Exhibit G of Form CC. The Commission expects that competing consolidator fees will reflect the services they provide relating to consolidated market data products, such as collecting, consolidating, generating, and disseminating the products that contain the data underlying consolidated market data. The Commission, however, is not implementing an approval process for competing consolidator fees. Competing consolidators are not SROs and therefore not subject to Section 19(b) of the

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1054 See Clearpool Letter at 4; ACS Execution Services Letter at 5, 6; RBC Letter at 6; TechNet Letter II at 1–2.

1055 TechNet Letter II at 1–2.

1056 See Clearpool Letter at 4. See also ACS Execution Services Letter at 5 (stating that requiring competing consolidator fees to be subject to Commission approval would potentially reduce uncertainty about the cost of consolidated market data).

1057 See RBC Letter at 6.